



Winding Tree

Winding Tree: Internet for Travel Industry



Maksim Izmaylov

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4 min read · Nov 28, 2016



I started talking to people about fundamental problems that the travel industry is facing about a year ago, while I was still working on Roomstorm. Originally I thought that the biggest problem is the lack of standards, but after a few insightful conversations with travel executives I realized that the root cause for not having standards, the reason for startups struggling to obtain data from big companies and for suppliers suffering from high commission fees imposed by the middlemen is actually very simple. As one of those executives put it:

“The biggest problem in the travel industry is ego.”

From the business standpoint having a big ego and trying to monopolize the market makes a lot of sense, and it is exactly what we see today: a few big companies are in equilibrium, they've created their own standards in order to lock down their partners and customers. At the same time they are not willing to innovate, they move very slowly and that's why it's extremely hard to work with them. If you try, expect months of negotiations, ridiculous demands and SOAP APIs with poor documentation. And all that is by design.

These companies can not and will not create standards, because it will undermine their business: if it's easy for you to switch over to another provider, I may easily lose your business, if they promise you a slightly better deal.

Another egoistic aspect of doing business in travel is that everyone, it seems, tries to “own” the traveller and their data.

In the grand scheme of things, this behavior, of course, hurts the industry and the end user. We all pay up to 30% in commission fees to the middlemen, when we book flights or hotels. It explains why you see those Hilton commercials on TV, where they try to convince you to book directly with them.

Another implication of that invisible fight is the fact that there is no collaboration between software engineers in travel. There are no organizations or events that aim to bring software engineers together to work on common problems and there are no open-source projects. This is why, together with Marina Janeiko, I started Travel Tech Con, an organization that aims to enable a new level of collaboration in travel, and Winding Tree, a decentralized open-source data layer for the travel industry.

Internet for Travel Industry

In a nutshell, Winding Tree is just a set of open-source protocols for data exchange plus software that runs on a blockchain and enables anyone to access a central repository of that data.

We aim to start with inventory availability information from hotels, airlines and tour and activity providers in order to enable travel agents to book hotel rooms and airline tickets. We'll leave the question of what's going to be possible to build on top of Winding Tree to the community.

Decentralization

The problem is that the ideal solution would be just one organization, just one set of standards for exchanging data. But how do we make sure that that organization doesn't have all the downsides of a monopoly, like the ability to raise the transaction fees any time, revoke access to data at their will or engage in other controversial activities?

The answer is easy: decentralized autonomous organization on a blockchain. For those who are familiar with this technology it would be easy to understand that it will allow for us to have one set of standards, while no one person (or organization) will be able to control it. For those unfamiliar with the concept, here's a few links (please recommend a good article in comments):

- [How Decentralized Applications Could Bring the Blockchain to New Industries](#)
- [Blockchain Revolution by Don Tapscott \(TED Talk\)](#)

The key here is to make sure that no one controls access to the network and no one is able to pull the switch on us all. That is why a recent initiative from an Australian company called WebJet to build a distribution system for hotels on Microsoft's proprietary blockchain looks sort of like this:

Source: dilbert.com

"A free market interprets monopoly as damage and routes around it."

— [Paul Graham](#)

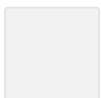
Open Source

Another very important aspect of creating Winding Tree is that it has to be 100% inclusive, transparent and, therefore, open source.

In the last several years we've seen a few attempts to create standards in the travel industry, like NDC or Open Travel Alliance. While progress in those areas is very much needed, the approach that those organizations take (i.e. top-down) doesn't seem to work anymore. It's time for software engineers in the travel industry to get together and start working on those standards, without asking for permission. We can't wait *for years* for managers to sign off the technologies that we had to implement years ago.

To Be Continued

In the next post we'll discuss the choice of technology for Winding Tree and our launch plans.

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Written by Maksim Izmaylov

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What are your thoughts?



macdarabutler

Dec 10, 2016



This could actually work, if a critical mass of smaller travel tech companies adopted common data models and protocols under a community standard eventually the big players would have to adopt them too...



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Nikolay Derkach

Dec 1, 2016



A free market interprets monopoly as damage and routes around it.

Hold on, there is a country with a free economy out there?



1

[Reply](#)



Mohamed Jeafer

Oct 30, 2017



Hi, So i am doing my Master's Thesis and i really would like some help from you. If you have any particular idea, topic, or want me to work on something that you are already working on please advise. I am a travel agent who's doing MSC in Applied programming.



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